

Tata Consultancy Services Ltd.

DCF Valuation & Financial Modelling

Academic / placement project • Valuation date: 14 August 2026

Base DCF: INR 2,566 implied value per share versus INR 2,359 reference price, implying **8.8% upside**. Base WACC = 11.3%; terminal growth = 4.5%.

1. Executive Summary

This project values TCS using an FCFF-based DCF. FY26A historical data comes from TCS's official FY2025-26 reporting. FY27E-FY28E are anchored to the uploaded Motilal Oswal research report, while FY29E-FY32E are independent modelling extensions. The broker report's INR 4,400 P/E target is not used as the DCF target.

2. Forecast Framework

Metric	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E
Revenue (INR cr)	267,021	284,100	308,500	330,095	349,901	369,146	387,603
EBIT margin	25.0%	25.1%	25.0%	25.0%	25.0%	25.0%	25.0%
FCFF (INR cr)	—	55,656	60,145	64,400	68,295	72,068	75,689

3. DCF Methodology

FCFF = EBIT × (1 – tax rate) + D&A; – Capex – Change in NWC. Explicit FCFF is forecast for FY27E-FY32E. Terminal value uses the Gordon growth method. Enterprise value is the present value of forecast FCFF plus terminal value; equity value then adds cash/investments and subtracts debt-like liabilities. This is the standard FCFF/WACC framework described by CFA Institute.

4. WACC

The model uses 11.3% WACC. The illustrative CAPM inputs are 6.8% risk-free rate, 1.00 beta and 4.5% equity risk premium, producing 11.3% cost of equity. A 7.0% pre-tax cost of debt is assumed, with relatively little debt compared with equity value. WACC is a key judgement and is therefore sensitivity-tested.

5. Valuation Output

Component	INR crore
PV of explicit FCFF	271,784
PV of terminal value	611,882
Enterprise value	883,665
+ Cash & investments	46,896
– Debt / lease liabilities	2,283
Equity value	928,278
Shares outstanding (crore)	361.8
DCF target price	INR 2,566
Reference price	INR 2,359
Upside	8.8%

6. Sensitivity Analysis

The DCF is sensitive to both WACC and terminal growth. The base case is 11.3% WACC and 4.5% terminal growth.

WACC \ g	3.5%	4.0%	4.5%	5.0%	5.5%
10.3%	2,666	2,816	2,991	3,199	3,451
10.8%	2,489	2,615	2,761	2,933	3,137
11.3%	2,335	2,442	2,566	2,709	2,876

11.8%	2,199	2,292	2,397	2,517	2,657
12.3%	2,079	2,159	2,250	2,352	2,470

7. Key Drivers & Risks

Drivers: AI/cloud/data demand, stable ~25% operating margins, strong cash conversion and order-book visibility. **Risks:** slower discretionary IT spending, deal delays, wage/subcontracting pressure, currency movements, AI-driven disruption and DCF sensitivity to WACC/terminal growth.

8. Interview Preparation

Be able to explain FCFF, why WACC is the discount rate, how terminal value is calculated, why cash is added to EV, why debt is deducted, what drives FCFF, and how a 100-bps change in WACC affects the target price.

9. Disclosure

Historical figures are sourced from TCS official reporting; FY27E-FY28E forecast anchors are from the uploaded Motilal Oswal report; later forecasts and valuation assumptions are student assumptions. This is an academic/placement project and not investment advice.